

FIVN - Five9 | Full Deep Dive

September 21, 2026 | Framework 6.0.2 | NOT HELD | STRUCTURAL - enterprise workflow integration, competitive AI application layer | Watchlist

Analytical Base: 40/60 (67%). Valuation: 20x forward four-quarter non-GAAP operating profit, retaining ordinary depreciation.

Snapshot: USD 32.47 per share on September 18, 2026 close; 74.724 million shares, implying USD 2,426.27 million equity value. Source [FIVN-6]. Price is a dated header snapshot, not a valuation input in the body.

Active horizon Q3 2027 ceiling: USD 83.13/share. Q1 2028: USD 93.16/share.

All financial model amounts are USD millions, shares in millions, unless stated. December fiscal year; all quarter labels are calendar quarters.

1. Thesis, bottleneck and expanded TAM

Five9 sells cloud contact-center software, telephony and implementation. The framework exposure is AI application adoption: established enterprise routing and compliance can distribute AI into production workflows. It is not a physical AI bottleneck. Switching costs come from workflow integration, reliability and deployment effort; competitors can still win customers.

AI introduces both an expansion vector and a substitution threat. Revenue from automation must exceed any reduction in human-agent licenses. The model therefore separates core CCaaS from AI and keeps telecom and implementation economics visible. Counting AI as incremental on top of all subscription revenue would double-count it.

Large-enterprise deployments create backlog visibility but long implementation periods. The newly announced Fortune 100 contract has roughly \$100M total value over five years and a potential \$25M subscription ARR at full deployment. It is modeled as a phased contributor within subscription revenue, never as \$100M annual sales. [FIVN-2]

The latest annual filing identifies NICE, Genesys, Cisco, Avaya, Talkdesk, Content Guru, RingCentral and Zoom, plus developer-oriented offers from Amazon, Microsoft and Twilio. CRM platforms and independent AI agents widen the competitive set. Google is a distribution/technology partner, while cloud platforms elsewhere can compete. A channel alliance is not market exclusivity. [FIVN-5]

TAM expansion and S-curve

Phase	Economic exposure	Model treatment
Phase 1 - current, 100% relevance	Legacy contact centers migrate to cloud	Core subscriptions grow with deployed seats and contracts
Phase 2 - 2026-2030, 50% conceptual weight	AI automation, agent assistance and governed orchestration	Separate AI revenue vector; no addition of total labor spend as revenue
Phase 3 - later, 20% conceptual weight	Broader autonomous customer workflows	Included only through modeled AI adoption; no second terminal option

S-curve: a mature cloud platform with an earlier-stage AI revenue layer. The most useful addressable-spend bridge is deployed enterprise contracts and usage, rather than an unsupported share of all customer-service labor expenditure. The 2027 model has \$225M AI revenue versus the reported Q2 2026 \$39M quarterly level: a meaningful adoption ramp, but a slower growth rate than the latest reported 78% year-over-year surge. [FIVN-2]

2. Latest evidence and financial anchor

Latest August results guide Q3 revenue to \$316-322M and 2026 revenue to \$1.260-1.272B. Full-year non-GAAP EPS is \$3.22-3.30; that is not operating profit. Q2 GAAP OP was \$1.977M versus \$51.317M non-GAAP OP. [FIVN-1]

Two-call review: April 30 described AI growth of 68%, including enterprise and commercial customers. August 6 lifted the AI growth outlook to at least 60% for 2026, with several deployments brought forward. This is partly timing, not proof of larger

contract scope. The new Fortune 100 ramp starts gradually in 2027; it is distinct from an older Fortune 50 customer. [FIVN-2, FIVN-3]

Period	Status	Revenue	Gross profit	Operating profit	Source
Q1 2026	Actual GAAP	305.32	170.53	18.49	FIVN-4 / H1 less Q2
Q2 2026	Actual GAAP; revenue rounded	312.40	166.74	1.98	FIVN-1
Q2 2026 normalized basis	Derived GP; reported non-GAAP OP	312.40	175.98	51.32	FIVN-1 reconciliation

Q2 normalized GP of \$175.977M equals GAAP GP \$166.744M plus cost-of-sales SBC \$5.794M, intangible amortization \$3.409M and integration costs \$0.030M. Unlike the company's broader adjusted-GP metric, this retains ordinary depreciation and finance-lease amortization. Non-GAAP OP excludes company-specified compensation, acquisition and unusual costs; it is not EBITDA. Vector margins are unreported analytical allocations, calibrated to this operating basis.

The near-term total follows the sales-guide midpoints: Q3 \$319M and Q4 \$329.281M, using rounded Q2 revenue. For a profit cross-check, annual EPS midpoint x guided 76.3M non-GAAP diluted shares = \$248.738M net income. A modeled \$6.4M annual net below-OP benefit implies \$242.338M OP; H1 reported non-GAAP OP of \$109.085M leaves \$133.253M in H2. Q3 OP is \$57.810M and Q4 the residual \$75.443M. The below-OP benefit is an analyst bridge, not a disclosed operating-profit guide. [FIVN-1]

Balance sheet and capital allocation

The call reports about \$654M cash and short-term investments, while the filing reports \$737.283M convertible notes. Cash should not be added to a ceiling without also considering debt. Share repurchases partly offset compensation: the announced accelerated repurchase had delivered 3.1M shares by the Q2 call. No full use of unused authorizations is assumed. [FIVN-2, FIVN-7]

3. Base score and evidence ledger

Category	Score	Evidence
Core Thesis	15	Integrated enterprise workflow and recurring revenue; no exclusive bottleneck
Cycle Stage	7	AI adoption accelerates within an established cloud product
TAM Expansion	8	Automation expands monetization but may replace agent seats
Catalysts	4	Backlog deployment and new enterprise contract ramp
Macro	7	Productivity investment offsets sensitive enterprise budgets
Alpha	3	Useful distinction between AI deployment timing and deal size
Risks	-4	Competition, conversion, platform liability, and equity/debt claims
Total	40/60 = 67%	Watchlist

40/60 = 67, Watchlist. AI evidence earns expansion credit; competitive entry and uncertain unit economics prevent a scarcity score. Price does not influence Base.

4. Quarterly operating model

Four mutually exclusive revenue vectors: core CCaaS subscriptions, AI subscriptions/usage, telecom, and professional services. Subscription equals the first two vectors together. The latest disclosed 83%/11%/6% total revenue mix is used as a starting calibration, with AI removed from subscription before estimating core CCaaS. [FIVN-2]

Revenue vector	Driver and source	Confidence
Core CCaaS subscriptions	FIVN-2: subscription less AI; deployed seats/contract value proxy	MEDIUM total near term; LOW vector estimates
AI subscriptions and usage	FIVN-2/3: observed AI sales and backlog acceleration; analyst adoption path	MEDIUM direction; LOW out-year dollars
Telecom	FIVN-2 mix; flat usage/pricing proxy	LOW allocation
Professional services	FIVN-2 implementation workload; cost-normalization assumption	LOW allocation

Core growth is modeled through about 7% annualized retention/seat expansion initially, supplemented by enterprise deployment; later growth decelerates as the base matures. AI growth is usage/adoption-led, with no assumed blanket price increase. The new Fortune 100 contributes an illustrative \$7M in 2027, \$18M in 2028 and \$25M annually thereafter, already included across core/AI vectors. Its allocation between those products is not disclosed, so no separate fifth vector is added. Existing backlog is included once. Telecom stays nearly flat; services grow with deployments but earn a much lower margin. AI model-provider/inference costs remain in its cost of sales. Out-year product margins are hypotheses requiring validation, not reported segment margins.

Physical and commercial drivers

Calendar year	Core CCaaS	AI	Telecom	Services	New Fortune 100 included	
2027		960	225	138	82	7
2028		1,020	295	140	87	18
2029		1,070	365	140	92	25
2030		1,110	435	140	97	25

Vector revenue, gross margin and gross profit

For each row: vector gross profit = vector revenue x its own gross margin. The following tables expose the inputs; they are analyst model assumptions unless explicitly identified as reported or guided.

Core CCaaS subscriptions

Quarter	Revenue	Gross margin	Gross profit
Q3 2026	224.00	65.00%	145.60
Q4 2026	229.28	65.00%	149.03
Q1 2027	225.60	66.00%	148.90
Q2 2027	235.20	66.00%	155.23
Q3 2027	244.80	66.00%	161.57
Q4 2027	254.40	66.00%	167.90
Q1 2028	239.70	67.00%	160.60
Q2 2028	249.90	67.00%	167.43
Q3 2028	260.10	67.00%	174.27
Q4 2028	270.30	67.00%	181.10
Q1 2029	251.45	68.00%	170.99
Q2 2029	262.15	68.00%	178.26
Q3 2029	272.85	68.00%	185.54
Q4 2029	283.55	68.00%	192.81
Q1 2030	260.85	68.00%	177.38
Q2 2030	271.95	68.00%	184.93
Q3 2030	283.05	68.00%	192.47
Q4 2030	294.15	68.00%	200.02

AI subscriptions and usage

Quarter	Revenue	Gross margin	Gross profit	
Q3 2026		42.00	70.00%	29.40
Q4 2026		47.00	70.00%	32.90
Q1 2027		52.88	72.00%	38.07
Q2 2027		55.12	72.00%	39.69
Q3 2027		57.38	72.00%	41.31
Q4 2027		59.62	72.00%	42.93
Q1 2028		69.33	74.00%	51.30
Q2 2028		72.28	74.00%	53.48
Q3 2028		75.22	74.00%	55.67
Q4 2028		78.17	74.00%	57.85
Q1 2029		85.77	76.00%	65.19
Q2 2029		89.42	76.00%	67.96
Q3 2029		93.08	76.00%	70.74
Q4 2029		96.73	76.00%	73.51
Q1 2030		102.22	77.00%	78.71
Q2 2030		106.58	77.00%	82.06
Q3 2030		110.92	77.00%	85.41
Q4 2030		115.28	77.00%	88.76

Telecom

Quarter	Revenue	Gross margin	Gross profit
Q3 2026	34.00	20.00%	6.80
Q4 2026	34.00	20.00%	6.80
Q1 2027	32.43	20.00%	6.49
Q2 2027	33.81	20.00%	6.76
Q3 2027	35.19	20.00%	7.04
Q4 2027	36.57	20.00%	7.31
Q1 2028	32.90	20.00%	6.58
Q2 2028	34.30	20.00%	6.86
Q3 2028	35.70	20.00%	7.14
Q4 2028	37.10	20.00%	7.42
Q1 2029	32.90	20.00%	6.58
Q2 2029	34.30	20.00%	6.86
Q3 2029	35.70	20.00%	7.14
Q4 2029	37.10	20.00%	7.42
Q1 2030	32.90	20.00%	6.58
Q2 2030	34.30	20.00%	6.86
Q3 2030	35.70	20.00%	7.14
Q4 2030	37.10	20.00%	7.42

Professional services

Quarter	Revenue	Gross margin	Gross profit	
Q3 2026		19.00	12.00%	2.28
Q4 2026		19.00	15.00%	2.85
Q1 2027		19.27	15.00%	2.89
Q2 2027		20.09	15.00%	3.01
Q3 2027		20.91	15.00%	3.14
Q4 2027		21.73	15.00%	3.26
Q1 2028		20.45	15.00%	3.07
Q2 2028		21.32	15.00%	3.20
Q3 2028		22.18	15.00%	3.33
Q4 2028		23.05	15.00%	3.46
Q1 2029		21.62	15.00%	3.24
Q2 2029		22.54	15.00%	3.38
Q3 2029		23.46	15.00%	3.52
Q4 2029		24.38	15.00%	3.66
Q1 2030		22.79	15.00%	3.42
Q2 2030		23.77	15.00%	3.56
Q3 2030		24.73	15.00%	3.71
Q4 2030		25.71	15.00%	3.86

Combined quarterly earnings

Quarter	Status	Revenue	Gross profit	R&D	SG&A	Other opex	OP	OP margin
Q3 2026	Model	319.00	184.08	35.09	91.18	0.00	57.81	18.12%
Q4 2026	Model	329.28	191.58	36.22	79.92	0.00	75.44	22.91%
Q1 2027	Model	330.18	196.34	36.32	94.10	0.00	65.92	19.97%
Q2 2027	Model	344.22	204.70	37.86	98.10	0.00	68.73	19.97%
Q3 2027	Model	358.28	213.05	39.41	102.11	0.00	71.53	19.97%
Q4 2027	Model	372.32	221.41	40.96	106.11	0.00	74.34	19.97%
Q1 2028	Model	362.37	221.55	38.05	99.65	0.00	83.85	23.14%
Q2 2028	Model	377.79	230.97	39.67	103.89	0.00	87.41	23.14%
Q3 2028	Model	393.21	240.40	41.29	108.13	0.00	90.98	23.14%
Q4 2028	Model	408.63	249.83	42.91	112.37	0.00	94.55	23.14%
Q1 2029	Model	391.75	246.00	39.17	103.81	0.00	103.01	26.30%
Q2 2029	Model	408.41	256.47	40.84	108.23	0.00	107.39	26.30%
Q3 2029	Model	425.09	266.93	42.51	112.65	0.00	111.78	26.30%
Q4 2029	Model	441.75	277.40	44.18	117.07	0.00	116.16	26.30%
Q1 2030	Model	418.77	266.09	41.88	108.88	0.00	115.33	27.54%
Q2 2030	Model	436.59	277.41	43.66	113.51	0.00	120.24	27.54%
Q3 2030	Model	454.41	288.74	45.44	118.15	0.00	125.15	27.54%
Q4 2030	Model	472.23	300.06	47.22	122.78	0.00	130.06	27.54%

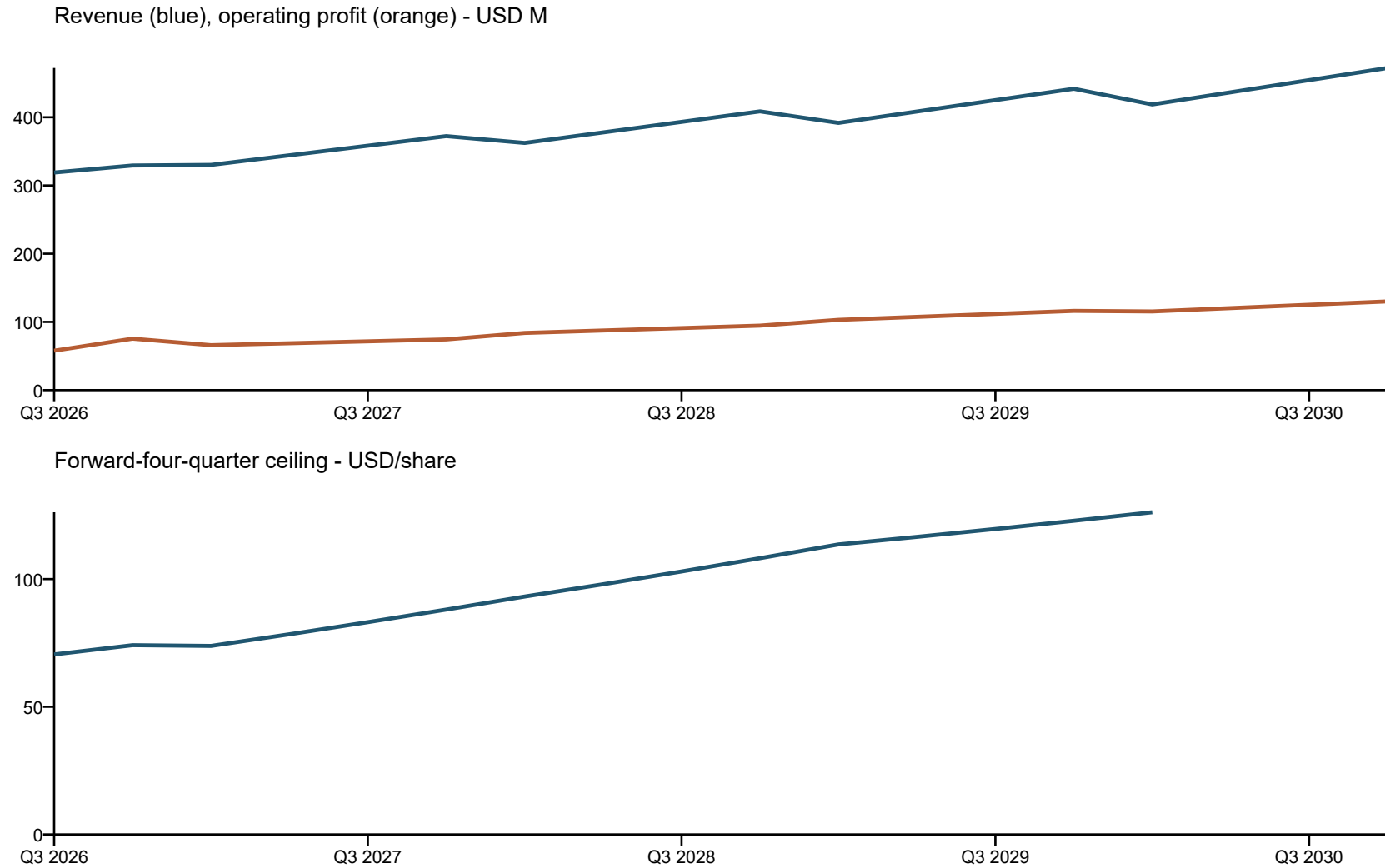
Annual trajectory cross-check

The calendar-bucket sums below are a capacity and demand cross-check; quarterly windows remain the live valuation method. Years beyond the latest guidance are model extensions, not company guidance.

Year	Revenue	Operating profit	OP margin
2027	1,405.00	280.53	19.97%
2028	1,542.00	356.79	23.14%
2029	1,667.00	438.35	26.30%
2030	1,782.00	490.78	27.54%

Sales rise from the guided \$1,266M midpoint in 2026 to \$1,405M in 2027 and \$1,782M in 2030. Core growth slows while AI mix rises. The large new contract contributes within these totals; its full ARR is not recognized from day one. A 20% shortfall in modeled 2027 AI revenue removes \$45M sales and roughly \$32M GP before variable opex actions. That is a more relevant stress than assigning the entire AI labor market to Five9.

5. Forward four-quarter ceiling and derivations



20x forward-four-quarter non-GAAP operating profit, retaining ordinary depreciation is the portfolio owner-selected multiple as of September 21, 2026, held constant across the model. This is the framework operating-profit convention, not an observed market P/E. A one-turn change changes each ceiling by 5%. The excluded stock compensation is economically real: retaining a 10%-of-revenue SBC charge in 2027 would reduce annual OP by \$140.5M. The non-GAAP profit label and denominator remain explicit.

The framework convention applies the operating-profit multiple directly to diluted equity shares. It is neither a net-income P/E nor an enterprise-value bridge. No separate net-cash addition, tax conversion, probability haircut or price-dependent ranking enters this ceiling. Any probability-weighted revenue is already included once in its operating vector.

Ceiling quarter	Exact earnings window	Forward-4Q OP	Multiple	Diluted shares	Ceiling/share
Q3 2026	Q3 2026 to Q2 2027	267.91	20x	76.000	70.50
Q4 2026	Q4 2026 to Q3 2027	281.63	20x	76.000	74.11
Q1 2027	Q1 2027 to Q4 2027	280.53	20x	76.000	73.82
Q2 2027	Q2 2027 to Q1 2028	298.45	20x	76.150	78.38
Q3 2027	Q3 2027 to Q2 2028	317.13	20x	76.300	83.13
Q4 2027	Q4 2027 to Q3 2028	336.58	20x	76.450	88.05
Q1 2028	Q1 2028 to Q4 2028	356.79	20x	76.600	93.16
Q2 2028	Q2 2028 to Q1 2029	375.96	20x	76.750	97.97
Q3 2028	Q3 2028 to Q2 2029	395.94	20x	76.900	102.97
Q4 2028	Q4 2028 to Q3 2029	416.73	20x	77.050	108.17
Q1 2029	Q1 2029 to Q4 2029	438.35	20x	77.200	113.56
Q2 2029	Q2 2029 to Q1 2030	450.67	20x	77.350	116.53
Q3 2029	Q3 2029 to Q2 2030	463.51	20x	77.500	119.62
Q4 2029	Q4 2029 to Q3 2030	476.88	20x	77.650	122.83
Q1 2030	Q1 2030 to Q4 2030	490.78	20x	77.800	126.16

Complete derivation for every ceiling quarter

Q3 2026: OP window Q3 2026 to Q2 2027: $(57.81 + 75.44 + 65.92 + 68.73) \times 20 / 76.000 = \text{USD } 70.50$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q4 2026: OP window Q4 2026 to Q3 2027: $(75.44 + 65.92 + 68.73 + 71.53) \times 20 / 76.000 = \text{USD } 74.11$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q1 2027: OP window Q1 2027 to Q4 2027: $(65.92 + 68.73 + 71.53 + 74.34) \times 20 / 76.000 = \text{USD } 73.82$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q2 2027: OP window Q2 2027 to Q1 2028: $(68.73 + 71.53 + 74.34 + 83.85) \times 20 / 76.150 = \text{USD } 78.38$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q3 2027: OP window Q3 2027 to Q2 2028: $(71.53 + 74.34 + 83.85 + 87.41) \times 20 / 76.300 = \text{USD } 83.13$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q4 2027: OP window Q4 2027 to Q3 2028: $(74.34 + 83.85 + 87.41 + 90.98) \times 20 / 76.450 = \text{USD } 88.05$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q1 2028: OP window Q1 2028 to Q4 2028: $(83.85 + 87.41 + 90.98 + 94.55) \times 20 / 76.600 = \text{USD } 93.16$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q2 2028: OP window Q2 2028 to Q1 2029: $(87.41 + 90.98 + 94.55 + 103.01) \times 20 / 76.750 = \text{USD } 97.97$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q3 2028: OP window Q3 2028 to Q2 2029: $(90.98 + 94.55 + 103.01 + 107.39) \times 20 / 76.900 = \text{USD } 102.97$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q4 2028: OP window Q4 2028 to Q3 2029: $(94.55 + 103.01 + 107.39 + 111.78) \times 20 / 77.050 = \text{USD } 108.17$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q1 2029: OP window Q1 2029 to Q4 2029: $(103.01 + 107.39 + 111.78 + 116.16) \times 20 / 77.200 = \text{USD } 113.56$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q2 2029: OP window Q2 2029 to Q1 2030: $(107.39 + 111.78 + 116.16 + 115.33) \times 20 / 77.350 = \text{USD } 116.53$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q3 2029: OP window Q3 2029 to Q2 2030: $(111.78 + 116.16 + 115.33 + 120.24) \times 20 / 77.500 = \text{USD } 119.62$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q4 2029: OP window Q4 2029 to Q3 2030: $(116.16 + 115.33 + 120.24 + 125.15) \times 20 / 77.650 = \text{USD } 122.83$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q1 2030: OP window Q1 2030 to Q4 2030: $(115.33 + 120.24 + 125.15 + 130.06) \times 20 / 77.800 = \text{USD } 126.16$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

The final three operating quarters support earlier four-quarter windows and have no standalone ceiling. Arithmetic uses unrounded inputs; displayed components are rounded for readability.

The model follows the company's guided 76M non-GAAP diluted denominator initially and adds 0.15M per quarter from 2027, rather than assuming perpetual buybacks. GAAP guidance uses 85.4M Q3 diluted shares, substantially more because treatment of convertible instruments and related offsets differs. Using 85.4M instead of 76M for the same profit reduces the near-term ceiling by approximately 11%. This denominator difference is material, not a rounding choice. [FIVN-1, FIVN-7]

Mechanical share sensitivity

Q1 2028 denominator	Ceiling/share
Current model	93.16
5% more shares	88.72
10% more shares	84.69

6. Cross-book relationships and monitoring

This is AI monetization at the application layer. Hyperscaler and accelerator spending is a cost/enabler, not an automatic pass-through to Five9 sales. Compare application retention and deployment with hardware shipment indicators rather than pooling their TAMs.

Cloud alliances can improve distribution but introduce dependence. A partner may also offer adjacent services, so partner revenue is not exclusive vendor capture. AI automation can expand Five9 usage while reducing demand for human-seat licensing.

MITK, another requested new name, also sells into enterprise and financial workflows. The two can share enterprise budget and compliance sensitivities but address different products; neither is treated as a customer or supplier without evidence.

7. Scored risks and re-rate tests

Risk class	Score	Failure channel
Competition and substitution	-1	AI point solutions or cloud/CRM bundles displace features; seat contraction exceeds AI usage growth
Deployment execution	-1	Large contracts ramp more slowly, while implementation staff costs precede subscription revenue
Platform and regulatory liability	-1	Service interruption, data breach or flawed AI output damages regulated-customer retention
Equity and capital claims	-1	SBC, convertible treatment and capital allocation erode non-GAAP per-share economics

Dated triggers and counters

Checkpoint	Positive evidence	Counter / model action
Q3/Q4 2026 results	Revenue tracks latest ranges and subscription retention improves	Flat retention or slower deployment: reduce core/AI growth separately
Q4 2026 investor update	Clear AI unit economics and deployment milestones	Do not replace missing margins with generic SaaS benchmarks
2027 Fortune 100 rollout	Recognized recurring revenue progresses toward full deployment	A signed contract with negligible usage remains backlog, not revenue
2027-2028 operating review	Inference costs scale below AI revenue and service burden normalizes	Persistent services investment or SBC keeps economic margins below the model

The company has one reported segment and does not disclose product-level gross margins, absolute core seat counts or a full usage/ASP schedule. This Plan B model uses observed revenue mix and deployed contract value. Confidence is high for reported financials, medium for 2026 guidance, and low for margin splits and 2027-2030 projections. No takeover premium or unannounced acquisition is included.

8. Sources and snapshot

- **FIVN-1** - August 6, 2026. Q2 results and reconciliation. Actuals, guidance, OP basis and share definitions.
- **FIVN-2** - August 6, 2026. Q2 management call. Primary management remarks on mix, AI and deployment timing.
- **FIVN-3** - April 30, 2026. Q1 management call. Two-call direction and AI reporting scope.
- **FIVN-4** - April 30, 2026. Q1 results. Prior actual financial anchor.
- **FIVN-5** - February 19, 2026. FY2025 annual filing. Business, seasonality and competitor disclosure.
- **FIVN-6** - September 18, 2026. Price history. Header snapshot only.
- **FIVN-7** - August 6, 2026. Q2 SEC filing. Basic shares and capital structure.

Model snapshot: September 21, 2026. FIVN. Framework 6.0.2. Base 40/60 (67%). Eighteen modeled operating quarters and fifteen complete forward-four-quarter ceilings. Current full PDF and synchronized Markdown: G:/My Drive/1amInvesting/Artifacts/FIVN_Five9_DeepDive.pdf and .md. The companion company worksheet uses this same model and links the ceiling path to the master portfolio.